

NovaTech Solutions Inc.

Employment Agreement

**A professional Employment Agreement
between NovaTech Solutions Inc. and James
T. Sterling.**

Prepared by:
Legal Department, NovaTech Solutions Inc.

EMPLOYMENT AGREEMENT

This Employment Agreement (the "Agreement") is made and entered into as of the **1st** day of **September, 2026** (the "Effective Date"), by and between **NovaTech Solutions Inc.**, a corporation organized and existing under the laws of the State of Delaware, with its principal place of business at **450 Innovation Drive, Suite 300, Wilmington, DE 19801** (the "Company"), and **James T. Sterling**, an individual residing at **742 Evergreen Terrace, Apartment 4B, Dover, DE 19901** (the "Employee").

RECITALS

WHEREAS, the Company desires to employ the Employee as a **Senior Software Engineer**, and the Employee desires to accept such employment, on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the parties agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, the following terms shall have the meanings ascribed to them:

- **"Confidential Information"** means all non-public information related to the Company's business, including but not limited to trade secrets, software code, client lists, financial data, and strategic plans.
- **"Termination Date"** means the date on which the Employee's employment with the Company ends for any reason.
- **"Base Salary"** means the annual salary specified in Section 4.1.

1.2 Headings are for convenience only and do not affect interpretation.

2. EMPLOYMENT AND DUTIES

2.1 The Company agrees to employ the Employee, and the Employee agrees to accept employment, in the position of **Senior Software Engineer**. The Employee shall report to the **Chief Technology Officer**.

2.2 The Employee's principal duties shall include:

- Designing, developing, and maintaining scalable software applications using Java, Python, and cloud-based technologies.
- Leading technical design sessions and code reviews with a team of five engineers.

- Collaborating with product managers to define technical requirements and project timelines.
- Ensuring software quality through automated testing and continuous integration practices.
- Mentoring junior engineers and contributing to the team's technical growth.

2.3 The Employee shall devote their full working time, attention, and skill to the performance of their duties and shall not engage in any other business or employment without the prior written consent of the Company.

3. TERM OF EMPLOYMENT

3.1 Unless earlier terminated as provided herein, the Employee's employment under this Agreement shall commence on **September 1, 2026** and shall continue for an indefinite period, subject to termination by either party in accordance with Section 8.

4. COMPENSATION

4.1 The Company shall pay the Employee an annual base salary of **\$145,000** (the "Base Salary"), payable in equal bi-weekly installments, less applicable deductions and withholdings.

4.2 **Performance Bonus:** The Employee shall be eligible for an annual performance bonus of up to **15%** of the Base Salary, contingent upon achievement of individual and company performance targets set by the Board of Directors. The bonus for the 2026 fiscal year shall be prorated based on the Effective Date.

4.3 **Equity Compensation:** The Employee shall receive a one-time grant of **2,000** non-qualified stock options (the "Options") under the Company's 2025 Equity Incentive Plan, vesting over four years (25% after the first year, and monthly thereafter). The exercise price shall be **\$15.50** per share, the fair market value on the date of grant.

Table 1: Compensation Summary

Compensation Summary		
Component	Amount/Value	Frequency
Base Salary	\$145,000	Annual
Performance Bonus (Target)	\$21,750	Annual
Stock Options	2,000 shares	One-time

5. BENEFITS

- 5.1 The Employee shall be eligible to participate in the Company's group health insurance plan, which includes medical, dental, and vision coverage. The Company shall contribute **80%** of the premium for the Employee and **50%** for dependents.
- 5.2 The Employee shall be entitled to participate in the Company's 401(k) retirement plan. The Company shall match contributions up to **4%** of the Employee's Base Salary, subject to the plan's terms.
- 5.3 The Company shall provide basic life insurance coverage equal to **2x** the Employee's Base Salary.

6. LEAVE POLICY

- 6.1 **Paid Time Off (PTO):** The Employee shall accrue **20** days of paid time off per fiscal year, pro-rated for partial years. PTO may be used for vacation, personal, or sick leave. Unused PTO shall carry over up to a maximum of **30** days.
- 6.2 **Company Holidays:** The Employee shall receive **10** paid company holidays per year, as designated by the Company.
- 6.3 **Family and Medical Leave:** The Employee shall be eligible for up to **12 weeks** of unpaid leave per year under the federal Family and Medical Leave Act (FMLA), subject to eligibility requirements.
- 6.4 **Parental Leave:** The Company provides **8 weeks** of fully paid parental leave for the birth or adoption of a child, which runs concurrently with FMLA leave.

Table 2: Leave Entitlements

Leave Entitlements		
Leave Type	Entitlement	Paid/Unpaid
Paid Time Off	20 days/year	Paid
Company Holidays	10 days/year	Paid
Parental Leave	8 weeks	Paid

7. CONFIDENTIALITY

7.1 The Employee acknowledges that during employment, they will have access to Confidential Information. The Employee agrees to hold such information in strict confidence and not to disclose it to any third party without the Company's prior written consent.

7.2 The Employee shall not, during or after employment, use any Confidential Information for their own benefit or for the benefit of any other person or entity.

7.3 The obligations under this Section 7 shall survive termination of this Agreement for a period of **five (5) years**, or indefinitely for trade secrets.

8. TERMINATION

8.1 Termination for Cause: The Company may terminate the Employee's employment immediately for cause, including but not limited to: (a) material breach of this Agreement; (b) conviction of a felony; (c) gross negligence or willful misconduct; or (d) violation of Company policy.

8.2 Termination Without Cause: The Company may terminate the Employee's employment without cause by providing **30 days** prior written notice. In such case, the Employee shall receive a severance payment equal to **three (3) months** of Base Salary, plus continued health benefits for **three (3) months**.

8.3 Resignation by Employee: The Employee may resign by providing **30 days** prior written notice. The Company may waive all or part of the notice period and accelerate the Termination Date.

8.4 Termination for Death or Disability: This Agreement shall automatically terminate upon the Employee's death. If the Employee becomes disabled (unable to perform essential job functions for **90 consecutive days**), the Company may terminate employment after providing **14 days** notice.

9. INTELLECTUAL PROPERTY

9.1 The Employee agrees that all inventions, discoveries, software code, designs, and works of authorship created during employment and related to the Company's business shall be the sole and exclusive property of the Company.

9.2 The Employee shall promptly disclose such intellectual property to the Company and execute all documents reasonably requested to perfect the Company's rights.

10. NON-COMPETITION AND NON-SOLICITATION

10.1 During employment and for **six (6) months** after termination, the Employee shall not, directly or indirectly, engage in any business that competes with the Company within a **50-mile radius** of the Company's offices.

10.2 The Employee shall not, for **one (1) year** after termination, solicit or attempt to solicit any employee or client of the Company.

11. DISPUTE RESOLUTION

11.1 Any dispute arising out of or relating to this Agreement shall first be submitted to mediation administered by JAMS in Wilmington, Delaware.

11.2 If mediation fails, the dispute shall be resolved by binding arbitration in accordance with the rules of JAMS. The arbitration shall take place in Wilmington, Delaware, and judgment upon the award may be entered in any court having jurisdiction.

11.3 This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware.

12. GENERAL PROVISIONS

12.1 **Entire Agreement:** This Agreement constitutes the entire agreement between the parties and supersedes all prior discussions and agreements.

12.2 **Amendment:** No amendment to this Agreement shall be effective unless in writing and signed by both parties.

12.3 **Severability:** If any provision is held invalid or unenforceable, the remainder shall continue in full force and effect.

12.4 **Notices:** All notices shall be in writing and delivered to the addresses set forth above, or to such other address as a party may designate in writing.

12.5 **Counterparts:** This Agreement may be executed in counterparts, each of which shall be deemed an original.

13. SIGNATURE BLOCK

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

NovaTech Solutions Inc.

By: _____

Name: **Margaret Chen**

Title: **Chief Technology Officer**

Date: _____

Employee:

Signature: _____

Name: **James T. Sterling**

Date: _____

WITNESSES

Signed in the presence of:

Witness 1

Signature: _____

Name: **Sarah K. Mitchell**

Address: **12 Oak Avenue, Wilmington, DE 19802**

Date: _____

Witness 2

Signature: _____

Name: **David R. Patel**

Address: **88 Pine Street, Dover, DE 19904**

Date: _____